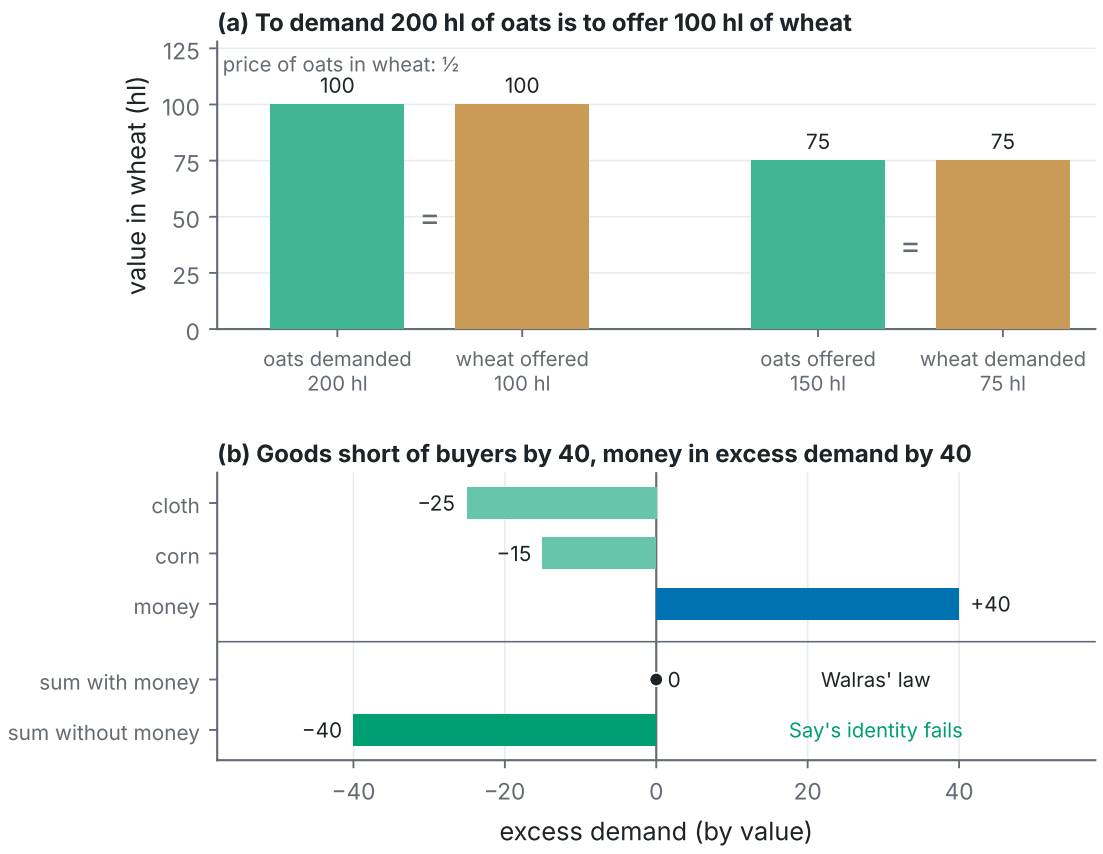
(a) To demand 200 hl of oats is to offer 100 hl of wheat
price of oats in wheat: ½
value in wheat (hl)
125
100
75
50
25
0
100
100
=
75
75
=
oats demanded
200 hl
wheat offered
100 hl
oats offered
150 hl
wheat demanded
75 hl
(b) Goods short of buyers by 40, money in excess demand by 40
cloth
corn
money
sum with money
sum without money
−25
−15
+40
0
Walras' law
−40
Say's identity fails
−40
−20
0
20
40
excess demand (by value)